

Lite Planning

Question 1: What holds a business back from progressing when it is in the "Break-even" growth stage?

Answer: A lack of financial management or sales/marketing basics, strained resources, and fatigue.

Key Point: Recognizing the obstacles in the Break-even stage helps owners understand they must formalize financial and marketing efforts before advancing to the Lifestyle stage.

Question 2: Which business growth stage is defined by making enough profit to allow the owner to draw sufficient funds to meet their lifestyle and save money each month?

Answer: The Lifestyle stage.

Key Point: The Lifestyle stage is a baseline of financial success where personal income goals are met before moving into scaling or leverage.

Question 3: What are the three definitive criteria that must be met for a valid Operational Objective?

Answer: It must be observable/measurable in its definitive assessment, bound by a specific timeframe, and clearly in support of achieving the singular Strategic Objective.

Key Point: An operational objective cannot be vague (like "Increase Sales"); it must act as a precise milestone to gauge execution.

Question 4: What obstacle primarily holds a business back during the "Leverage" stage?

Answer: Lack of faith in Key Staff, poor delegation/visibility procedures, or a reluctance to 'let go'.

Key Point: To scale past personal constraints, owners must shift from a 'specialist' service provider model to trusting ingrained governance and delegated teams.

Question 5: How is "Total Revenue" calculated using the 8 Profit Levers? **Answer:** Number of Foot-traffic x Number of Prospects x Number of Customers x Average

Customer Spend x Average Customer Frequency. **Key Point:** Revenue is the multiplied outcome of attention, conversion, transaction size, and transaction frequency.

Question 6: Which two profit levers directly target the aim of keeping customers "WANTING MORE"?

Answer: Average Customer Spend and Average Customer Frequency.

Key Point: Retaining interest and maximizing existing client relationships is measured by how much and how often they purchase.

Question 7: What characterizes the "Maturity" stage of the Growth Fundamentals framework?

Answer: The business commands a sizeable market-share and creates a 'barrier to entry' for any business looking to compete against it.

Key Point: A mature business relies on dominance and established presence rather than early-stage hustle.

Question 8: What specific action defines "Growth through Delegation, Replication or Quantification" (Intelligence)?

Answer: Dissecting activities so team members can complete parts or all of a task, automating processes, and magnifying value by multiplying engagement or fees.

Key Point: True leverage requires detaching the owner's direct time from the revenue-generating process.

Question 9: What happens to a business in the "Exit/Decline" stage if the owners miss the mark on succession or sale?

Answer: The business dwindles as the owners seek retirement without having developed inherent value beyond their own personal involvement.

Key Point: A successful exit requires structuring the business so its value is demonstrable and independent of the founder.

Question 10: According to the "5 Layers of Complexity," what does "Growth through Market Extension & Product Divergence" require a business to do?

Answer: Find additional 'sustenance' to meet new consumption requirements by entering new physical markets or offering new products.

Key Point: Reaching a new scale naturally forces a business to confront new frontiers to feed its expanded infrastructure.

Lite Data

Question 11: What is the definition of "Causation" when interpreting data?

Answer: Cause & Effect, where you are looking for evidence of direct influence between variables.

Key Point: Causation must be proven; simply observing two events happening together (correlation or coincidence) does not mean one caused the other.

Question 12: According to W. Edward Deming's Theory of Volatility, what defines a "Special Cause"?

Answer: A volatility factor that has a Low Frequency but a High Impact.

Key Point: Understanding data requires categorizing volatility so you know whether a change is a predictable trend or a rare anomaly.

Question 13: What are the components that make up the "Money in Movement" or Working Capital Cycle?

Answer: Cash moving into Stock, Stock moving into a Sale, the Sale moving to Debtors, and Debtors paying back to Cash.

Key Point: Cash flow health depends on the speed and efficiency with which this cycle is completed.

Question 14: If your business sells products to a supermarket that pays late, preventing you from buying new stock, do you have a lack of profitability or a lack of working capital?

Answer: You have a lack of working capital.

Key Point: The business is profitable on paper, but the delayed cash return means you need appropriate funding (working capital) to bridge the gap.

Question 15: What are the three distinct uses for business profits?

Answer: 1. To purchase new assets for growth or fund expansion activities, 2. To repay debt, 3. To distribute to business owners.

Key Point: Retained earnings indicate management's preferences and priorities for the future stability and expansion of the company.

Question 16: How is the fundamental equation of the Balance Sheet (Statement of Position) expressed?

Answer: $\text{Assets} = \text{Liabilities} + \text{Owners Equity}$.

Key Point: Every dollar invested in Assets had to come from someone, matching either bank debt (liability) or the owner (equity).

Question 17: What is the definition of "Over-trading"?

Answer: The business is growing faster than its internal ability to fund it via accumulated profits.

Key Point: Funding rapid growth primarily via debt without adequate retained profits creates a severe risk if there is a market downturn.

Question 18: How do you calculate a company's Quick (working capital) Position?

Answer: $\text{Cash} + \text{Debtors} \div \text{Current Liabilities}$.

Key Point: This ratio specifically measures liquidity—the business's ability to use cash on hand and incoming debtor payments to cover immediate debts.

Question 19: How is Return on Assets (R.O.A) calculated and what does it measure?

Answer: $\text{Net Profit (before tax)} \div \text{Total Assets}$; it measures a director's competency by showing how much profit is made for every dollar of gross listed assets.

Key Point: ROA is a critical gauge of whether leadership is utilizing the company's infrastructure effectively.

Question 20: What vital question should you ask before selecting a Key Performance Indicator (KPI) for your dashboard?

Answer: "...if we knew the answer to X, how would that help us in our future decision making..?"

Key Point: You must focus on measuring things that provide actionable insight and that you can actually adjust, rather than just tracking unchangeable metrics.

Lite Marketing

Question 21: What concept is addressed by "Market Diffusion Theory"?

Answer: The natural stages required to bring a new product or service to market, focusing on market acceptance and saturation timing.

Key Point: Diffusion helps predict when a market will tip into widespread adoption and when competition will increase as the market becomes 'educated'.

Question 22: How does Market Diffusion Theory differ from the Product Life Cycle?

Answer: With diffusion theory, a market may reach saturation while the product still fulfills a need. With the product life cycle, the product itself eventually becomes obsolete.

Key Point: A saturated market requires a different competitive strategy than dealing with a product that is fundamentally outdated.

Question 23: What describes a consumer who is in a state of "Motivated Awareness"?

Answer: The consumer recognizes a need/want and is motivated to act, but lacks problem detail and broad decision criteria, so they seek guidance from an 'Industry Authority'.

Key Point: Marketing to motivated awareness requires positioning your brand as the trusted educator that helps them define how to make their purchase decision.

Question 24: In the 4 Levels of Consumer Awareness, what does "Vaguely Aware" mean?

Answer: The consumer is aware of the 'Big Picture' but has made no self-relevance to the problem (they feel it doesn't affect them).

Key Point: Messaging at this stage must bridge the gap between a broad issue and the individual's personal life or business.

Question 25: What is the primary purpose of the "Free Engagement (Trial) LEVEL" in the Digital Client On-Boarding Funnel?

Answer: To respond to the level of engagement by offering relevance (like a 'How to Guide' or brochure) in exchange for a name, email, or phone number.

Key Point: Top-of-funnel marketing is a value exchange meant strictly to capture contact details for future relationship building.

Question 26: What happens at the very bottom of the marketing funnel once you have secured the customer?

Answer: You must focus on Retention and Expansion (Upsell) with the goal of creating Advocates.

Key Point: The marketing process does not stop at the sale; cultivating referrals and loyal advocates is crucial for sustainable growth.

Question 27: What are the four core column headers required to complete the "1 Page Marketing Plan"?

Answer: Target Market, Message, Mediums, and Frequency/Budget/Time.

Key Point: A clear plan forces you to allocate specific resources (money and time) to specific messages aimed at specific audiences via specific channels.

Question 28: According to the Marketing Statement Examples, how does an advisor describe "What makes me Unique"?

Answer: Blending advanced knowledge of personality types with 17 years of practical consulting experience to tailor plans and reduce fear.

Key Point: Uniqueness must combine tangible experience with a specific methodology that directly benefits the client's emotional or operational state.

Question 29: In the Purchase Decision Process, what criteria does a consumer evaluate when you "Provide Solution"?

Answer: Certainty of Outcome, Cost/Benefits Comparison to 'Next-Best' Alternatives, Affordability, Likeability, Ease & Convenience, Impact on others, and Social Status.

Key Point: A solution isn't just about functionality; buyers weigh emotional, social, and comparative risks before committing.

Question 30: What is the main objective of the "Premium Service LEVEL" inside the digital funnel?

Answer: To provide the very best of you, focusing heavily on the quality of the EXPERIENCE rather than just solving the core problem.

Key Point: Premium pricing is justified by the experiential delivery of the service, not merely the transactional outcome.

Lite Sales

Question 31: What is the primary focus of "Point of Sale" selling compared to other arenas?

Answer: It is more product and features/benefits oriented, with a greater emphasis being placed on the close.

Key Point: Point of sale assumes the customer's motive for purchase is already clear prior to them approaching, requiring less investigative work.

Question 32: What defines "Consultancy selling" in the Sales Arena?

Answer: It occurs over a greater length of time with more emphasis placed on the 'investigative' aspects of the client's needs and the business relationship itself.

Key Point: Consultancy selling requires patience and deep discovery, focusing on the beginning of a relationship rather than just the end transaction.

Question 33: In sales psychology, what is "Congruence"?

Answer: Being together, aligned, or consistent in how you approach an issue, creating a somatic connection where both parties feel trust has been 'well placed'.

Key Point: Consumers easily detect insincerity; true congruence ensures your physiology, intent, framework, and tonality all match.

Question 34: What physiological reaction occurs in a customer if a salesperson lacks congruence and gives off a "poor vibe"?

Answer: Norepinephrine and epinephrine flood their brain, they enter a higher state of alert, and instantly look for actions or words associated with danger.

Key Point: Breaking trust biologically triggers defensive mechanisms in the buyer, effectively ruining the chance to influence them.

Question 35: What are the 4 chronological steps in the Psychology of the Sale?

Answer: 1. Identify the need/want, 2. Create the desire to act, 3. Provide the solution, 4. Help to buy.

Key Point: Attempting to provide a solution before creating the desire to act (identifying consequence and urgency) will result in a lost sale.

Question 36: How does a "Pragmatist" processing style react to new information?

Answer: They are emotive but want reassurance; they seek PROOF by way of data, testimonials, statistics, and case study examples.

Key Point: You must tailor your sales presentation to provide concrete evidence when dealing with a pragmatist.

Question 37: What must a salesperson do when engaging with a "Reflector" processing style?

Answer: Give them TIME; decisions disturb them emotionally, so they need to withdraw and work through the process internally.

Key Point: Pushing a Reflector for an immediate close will backfire; the sales process must accommodate their need for space.

Question 38: What does the concept "Holes Not Drill Bits" teach about framing a sales pitch?

Answer: That a feature (a tungsten-tipped drill bit) is merely an aspect of the product, but you must sell the BENEFIT (clean holes exactly where you want them, with less effort).

Key Point: Customers do not buy components; they buy the advantageous outcomes those components deliver.

Question 39: When drafting a tender proposal, why is it critical to use separator cards and a contents page?

Answer: Because large documents will inevitably be re-visited by reviewers, and you must make it easy for those involved to quickly find specific information.

Key Point: A poor layout causes frustration under a deadline, which can lead to a proposal being unfairly marginalized.

Question 40: What is identified as the biggest cause of tender "blowouts"?

Answer: Communication.

Key Point: Tender success requires explicitly stating how you will manage the flow of information, handle bottlenecks, and run agendas and reports to ensure project clarity.

Lite People

Question 41: What are the 5 Drivers of Human Output used to diagnose staff performance?

Answer: Knowledge, Skill, Resource (and Planning), Environment, and Mindset.

Key Point: Poor performance should not be lumped into a single generic viewpoint; it must be systematically broken down into these five root causes to coach effectively.

Question 42: What is the realistic, non-linear sequence of the "Emotional Reaction Towards Learning Curve"?

Answer: Shock, Avoidance, Testing, and Acceptance (before eventually reaching implementation/skill).

Key Point: Owners mistakenly expect learning to be a straight line upward; understanding the emotional dip prevents abandonment when initial mistakes happen.

Question 43: What are the four required steps in the proven Delegation Model?

Answer: Clarify, Agree, Direct, Review.

Key Point: Omitting the "Review" loop leaves the delegator anxious and the employee feeling 'thrown in the deep end' without a safety net.

Question 44: Why is the standard P.I.P (Praise, Improvement, Praise) feedback model considered flawed?

Answer: Because the receiver waits for the "but," becomes defensive, and completely misses or diminishes the power of the first praise.

Key Point: Standard 'sandwich' feedback triggers anxiety rather than fostering genuine improvement.

Question 45: How should you structure feedback using the superior IPP model?

Answer: Offer one specific Improvement (dealing in observed behavior), get the words from their mouths on how to fix it, and THEN support with two specific Positives.

Key Point: Hitting the improvement first clears the air, and ending on double praise reinforces boundaries while leaving the employee motivated.

Question 46: What are the three primary drivers listed under the "80/20 of Employee Motivation"?

Answer: Security, Autonomy/Contribution, and Fair Rewards.

Key Point: Employees need to know their job is safe, feel trusted to make decisions that matter, and perceive their monetary compensation as equitable compared to peers.

Question 47: In Linda Hill's leadership research, what defines a culture of "Creative Abrasion"?

Answer: A culture where healthy debate is encouraged, teams amplify their differences, and they 'clash ideas' against each other by playing the ball and not the player.

Key Point: Innovation requires intellectual friction and diverse input without descending into personal attacks.

Question 48: What is the definition of "Creative Resolution" in a high-performing team?

Answer: The team refuses to 'go-along-to-get-along' if it compromises quality or innovation; they combine ideas for a better outcome rather than appeasing someone's ego.

Key Point: True leadership does not prioritize artificial harmony over achieving the best commercial or innovative result.

Question 49: How is "Skill" explicitly differentiated from "Knowledge" in the human output drivers?

Answer: Skill is the understanding of the practical application gained by way of Practiced Actions, whereas Knowledge is just new information mixed with past experience.

Key Point: An employee can read a manual (Knowledge) but will fail to execute without applied, repetitive practice (Skill).

Question 50: What specific phrasing is recommended in the "Review" phase of delegating a task?

Answer: "Are we clear on what needs to happen now?, we'll meet back on ...day/time to see how we're progressing."

Key Point: Setting an explicit feedback loop eliminates ambiguity regarding deadlines and oversight.

Lite Process

Question 51: What is the fundamental difference between a Process and a System?

Answer: A process is a sequence of actions to produce a component (e.g., building an engine), while a system is a collection of interdependent processes acting as a whole (e.g., assembling the entire car).

Key Point: Business improvement requires distinguishing between a single procedural task and the overarching architecture of the company.

Question 52: What are the five sequential stages of the Process Improvement Cycle?

Answer: Identify, Design, Test, Implement, Review.

Key Point: Altering business workflows must follow a controlled loop to ensure changes are modeled, tested in a pilot group, and measured against KPIs before total rollout.

Question 53: When comparing systems methodologies, what is the primary focus of "Lean thinking"?

Answer: To remove waste (creating a flow-focused effect with reduced flow time).

Key Point: Lean assumes that many small improvements in waste removal are better than heavy systems analysis.

Question 54: When comparing systems methodologies, what is the primary theory behind "Six Sigma"?

Answer: To reduce variation (creating uniform process output).

Key Point: Six Sigma is problem-focused, operating on the assumption that system output improves if numerical variance is minimized.

Question 55: What are the two most critically important aspects of any System?

Answer: DESIGN (Architecture) and FEEDBACK LOOP.

Key Point: Design ensures the correct order of resources, while the feedback loop is vital for identifying and removing errors dynamically.

Question 56: What is the purpose of a "Redundant System" in advanced operations?

Answer: It allows whole sections to 'shut down' or be replaced by another system in the event of a major system error.

Key Point: Redundancy provides a fail-safe mechanism, protecting the business from catastrophic operational failure.

Question 57: What is the recommended limit for the number of 'Nodes' (action steps) in a flowchart illustration?

Answer: Between 5 to 13 Nodes.

Key Point: Visual systems design must balance adequate detail with cognitive limits to remain useful.

Question 58: Why should you avoid putting more than 13 nodes into a single flowchart?

Answer: Because too many nodes will create information overload.

Key Point: If a process is too complex, it should be broken down into sub-processes to keep visual training tools comprehensible for the team.

Question 59: In Systems Thinking, what is "feedback" defined as?

Answer: The reaction triggered by an action, which can be Reinforcing feedback (linear loop) or Counteracting/balancing feedback (dynamic loop).

Key Point: Systems are cyclical chains of causality; an action creates an effect, which eventually feeds back into the system, sometimes with delays.

Question 60: What philosophy did Ray Kroc (McDonald's) adopt regarding business challenges?

Answer: "Got a problem?, make it a process, it won't be a problem anymore..."

Key Point: Unpredictable challenges can be neutralized by engineering standard operating procedures rather than relying on spontaneous problem-solving.